

The myth of the 20 per cent deposit

The quest of the first home buyer depends largely on the ability to save a suitable deposit quickly enough to put you in the position to buy a home. In recent times, as property values sprint along like Usain Bolt in full flight, first home buyers have been left puffing along in their wake, trying to save a deposit large enough to stay in the game. It's been a case of the further the race, the wider the gap. That said, there are signs that things are on the improve. A slowdown of property prices in 2017, for example, has helped first home buyers, especially in the highest value cities of Sydney and Melbourne.

While some banks and financial institutions have increased the difficulty of accessing a housing loan due to tighter fiscal policy – not only for first home buyers, but all potential borrowers – the basic criteria that buyers must meet to talk numbers with their bank manager or mortgage broker hasn't changed.

Buyers' advocate Cate Bakos says that lenders focus on three elements the applicant must fulfil:

1. Minimum required deposit
2. The ability of the applicant to make the regular payments
3. Acceptable credit behaviour. For example, do you have any defaults on your record, where you have failed to pay a bill or a debt?

It is Bakos's experience that applicants who have saved the 20 per cent deposit will be treated more favourably by the lenders, even to the point of the lenders offering a larger loan than the 20 per cent would allow under their formula. This show of savings diligence by an applicant who has a \$100,000 deposit – which, at 20 per cent, would mean a loan approval of \$400,000 – can result in the applicant being offered a loan of \$500,000 if they have positively ticked off the three elements above.